# Practice workbook · Fiscal policy: taxes, spending and macroeconomic objectives

Definition of fiscal policy, direct versus indirect taxes and sources of government revenue, and how changes in taxes and government spending affect unemployment, inflation, growth and living standards.

16 question parts: 1 worked-example retry and 15 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-26

# 1. Question 3 · part e · 9 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part e only.

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**3** (a) What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150?

**(1)**

- ☒ **A** 25%
- ☒ **B** 30%
- ☒ **C** 50%
- ☒ **D** 150%

(b) Which **one** of the following is an impact of globalisation?

**(1)**

- ☒ **A** Higher prices
- ☒ **B** Closing of traditional industries
- ☒ **C** Reduced choice
- ☒ **D** Increased cost of communication

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# 1. Question 3 · part e · 9 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part e only.

In December 2020, the UK unemployment rate was 5.1%. This was an increase of 1.3% from September 2020.

(c) Explain **one** likely impact on UK tax revenue from rising unemployment rates.

**(3)**

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# 1. Question 3 · part e · 9 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part e only.

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Lithium is used in batteries to power various electrical and electronic goods including mobile phones and electric cars. Lithium has to be mined from the ground and large deposits are found in countries such as Chile. Lithium mining uses a lot of water – approximately 2 million litres per tonne of lithium.

(d) Analyse how business activity can damage the environment in a country such as Chile.

**(6)**

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# 1. Question 3 · part e · 9 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part e only.

The number of unemployed people in Spain reached 4 million in February 2021. This was a rise of 44,436 people from the previous month and was the highest level since May 2016. This was the fifth monthly increase in unemployment. The sectors most affected included tourism and commerce. The only sector that made a recovery was construction.

(e) With reference to the data above and your knowledge of economics, assess the likely benefits of lowering taxes to reduce unemployment for a country such as Spain.

**(9)**

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# 1. Question 3 · part e · 9 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part e only.

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**(Total for Question 3 = 20 marks)**

## 1. Question 3 · part e · 9 marks · Working and answer

Working and answer

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## 2. Question 3 · part b · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

**3** (a) Kenyans who holiday in South Africa would be shown on the Kenyan current account as

(1)

- ☒ **A** an invisible import
- ☒ **B** a visible export
- ☒ **C** a visible import
- ☒ **D** an invisible export

(b) Which **one** of the following is an example of an indirect tax?

(1)

- ☒ **A** Inheritance tax
- ☒ **B** Income tax
- ☒ **C** Business tax
- ☒ **D** Value added tax

(c) Explain **one** way a government could reduce inequality and poverty.

(3)

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## 2. Question 3 · part b · 1 mark · Working and answer

Working and answer

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## 3. Question 1 · part h · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part h only.

**1** (a) The increased integration and interdependence of economies is known as

(1)

- ☒ **A** privatisation
- ☒ **B** specialisation
- ☒ **C** protectionism
- ☒ **D** globalisation

(b) What is the main cause of frictional unemployment?

(1)

- ☒ **A** People choosing not to work
- ☒ **B** People having the wrong skills
- ☒ **C** People changing jobs
- ☒ **D** People employed at certain times of the year

(c) What is meant by the term interest rate?

(2)

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## 3. Question 1 · part h · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part h only.

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(d) Describe **one** impact on consumers of a decrease in interest rates.

(2)

Rachel buys a t-shirt for 1 000 Kenyan shillings (KES) when she is on holiday.
The exchange rate is £1 = 137.73 KES.

(e) Calculate, to two decimal places, the price in sterling (£) of Rachel's t-shirt. You are advised to show your working.

(2)

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## 3. Question 1 · part h · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part h only.

(f) Using the diagram below, draw the effects of the introduction of a quota on the equilibrium price and quantity of a good.
Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

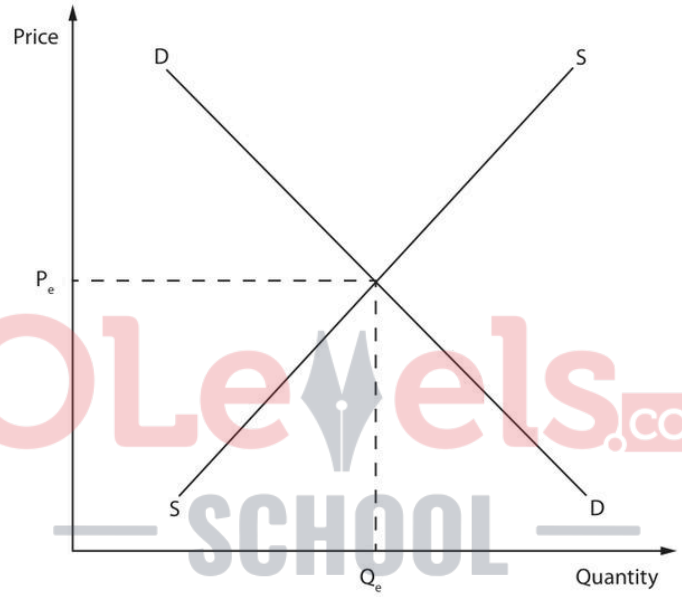



**Figure 1**

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## 3. Question 1 · part h · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part h only.

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In 2017 the US government wanted to introduce a 300% tariff on imported aircraft made by Canadian manufacturer Bombardier.

(g) Explain **one** way the World Trade Organisation could promote free trade between countries such as Canada and the US.

**(3)**

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P 6 0 7 4 8 A 0 5 2 4

## 3. Question 1 · part h · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part h only.

In January 2018, Australia had an unemployment rate of 5.5%.

(h) Analyse how the Australian government might reduce unemployment by using fiscal policy.

(6)

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**(Total for Question 1 = 20 marks)**

## 3. Question 1 · part h · 6 marks · Working and answer

Working and answer

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# 4. Question 2 · part b · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b only.

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**2** The price of a basket of goods and services used to calculate the Consumer Price Index (CPI) in an economy, rose from €1 250 to €1 300 in one year.

(a) What is the rate of inflation?

(1)

- ☒ **A** 0.96%
- ☒ **B** 1.04%
- ☒ **C** 4%
- ☒ **D** 5%

(b) What is the name of the term used to describe tax on income, wealth and profit?

(1)

- ☒ **A** Direct taxation
- ☒ **B** Value added tax
- ☒ **C** Excise duties
- ☒ **D** Indirect taxation

(c) State **one** way businesses can damage the environment.

(1)

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(d) What is meant by the term supply-side policy?

(2)

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*Turn over* ▶

## 4. Question 2 · part b · 1 mark · Working and answer

Working and answer

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## 5. Question 1 · part h · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.

**1** (a) What is calculated by using the consumer price index (CPI)?

(1)

- ☒ **A** Redistribution of income
- ☒ **B** Inflation rate
- ☒ **C** Economic growth
- ☒ **D** Exchange rate

(b) The sale or transfer of public sector assets to the private sector is known as

(1)

- ☒ **A** monetary policy
- ☒ **B** public expenditure
- ☒ **C** privatisation
- ☒ **D** fiscal policy

(c) What is meant by the term boom?

(2)

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## 5. Question 1 · part h · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.

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(d) What is meant by the term shoe leather costs?

**(2)**

(e) Calculate **the price in Indian Rupees (INR)** of machinery which costs $150 000 when the exchange rate is $1 = 70.66 INR. You are advised to show your working.

**(2)**

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P 5 8 3 8 5 A 0 3 2 4

# 5. Question 1 · part h · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.

Figure 1 shows the supply and demand of the pound (£) in terms of the euro (€).

(f) Using the diagram below, draw the effects on the exchange rate of the pound (£) of a decrease in UK exports to Eurozone countries. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

**(3)**

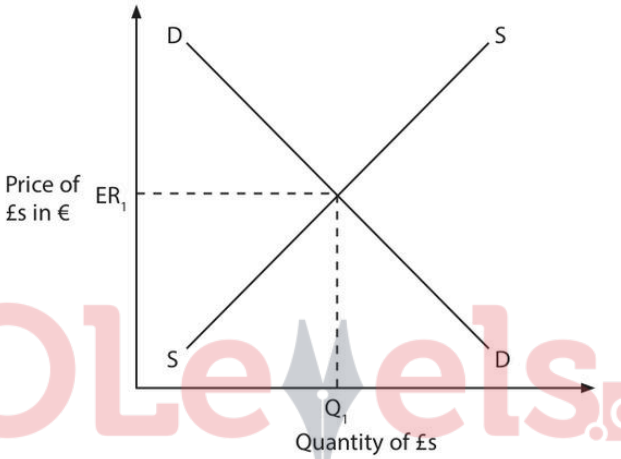



**Figure 1**

In November 2018, China launched its first ever anti-dumping investigation against Australia over the export of Australian barley.

(g) Explain **one** reason why a country such as Australia might export its products below the cost of production.

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# 5. Question 1 · part h · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.

Vietnam has progressive income tax rates that range from 5% to 35% depending on income.

(h) Analyse how a reduction in direct taxation is likely to affect the standard of living in a country such as Vietnam.

(6)

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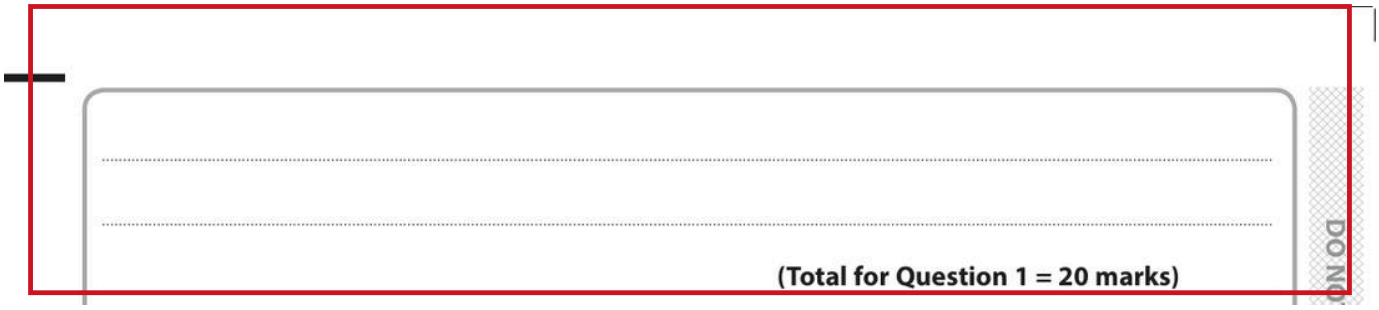
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Turn over

## 5. Question 1 · part h · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.




Working and answer

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## 6. Question 3 · part a · 1 mark

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part a only.

**3** (a) Which **one** of the following policies is most likely to reduce the rate of inflation?

**(1)**

- ☒ **A** Lower interest rates
- ☒ **B** Increased money supply
- ☒ **C** Higher government spending
- ☒ **D** Higher taxation

(b) In an exchange rate system with no government intervention, a decrease in the exchange rate is known as

**(1)**

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

In 2018, the annual rate of inflation in Egypt was 16% in September and 17.7% in October.

(c) Explain **one** likely impact of this change in inflation on the current account of the balance of payments for a country such as Egypt.

**(3)**

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## 6. Question 3 · part a · 1 mark · Working and answer

Working and answer

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## 7. Question 4 · part b · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

**4** Figure 3 shows the government revenue and expenditure (€m) for Estonia in 2018.

| 2018 | €m |
|---|---|
| Government revenue | 8 119 601 |
| Government expenditure | 8 197 243 |
| Fiscal surplus/deficit | |

(Source adapted from: https://www.stat.ee/53721)

**Figure 3**

(a) Calculate in €m the **fiscal surplus/deficit** for Estonia in 2018. You are advised to show your working.

**(2)**

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## 7. Question 4 · part b · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

Estonia's annual inflation rate increased to 4.4% in October 2018.

(b) Analyse how the Estonian Government might use fiscal policy to control inflation.

(6)

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## 7. Question 4 · part b · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

In 2019, the Estonian Government increased the subsidy for public transport by €9 m to €101m. The subsidy for bus services grew from €34.8 m to €43.3 m in 2019.

Minister of Economic Affairs and Infrastructure Kadri Simson said, "Greater support for public transport services will ensure better mobility as well as reduce cars on the road and reduce pollution of the environment. The subsidies also make movement easier for less well-off residents. Due to subsidised bus services, the number of passengers grew by 33% in one month."

The minister described local air services as one of the priorities for the Estonian Government in regional development. Air services to the major Western Estonian islands of Saaremaa and Hiiumaa have been given €5.53 m, more than double the €2.6 m subsidy they received last year.

(Source adapted from: https://news.err.ee/863306/public-transport-subsidy-to-increase-to-101-million-next-year)

(c) With reference to the data above and your knowledge of economics, evaluate the advantages of using subsidies for public transport to protect the environment for a country such as Estonia.

(12)

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## 7. Question 4 · part b · 6 marks · Working and answer

Working and answer

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## 8. Question 2 · part d · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

**2** (a) A depreciation in a country's exchange rate is most likely to lead to which **one** of the following?

**(1)**

- ☒ **A** Lower inflation
- ☒ **B** Higher exports
- ☒ **C** Increased unemployment
- ☒ **D** Increased budget surplus

(b) Which **one** of the following terms may refer to someone having a lower standard of living in comparison to the average person in society?

**(1)**

- ☒ **A** Absolute poverty
- ☒ **B** Income distribution
- ☒ **C** Relative poverty
- ☒ **D** Poverty trap

(c) State **one** effect on the balance of payments of improved quality of domestic goods.

**(1)**

(d) What is meant by the term fiscal policy?

**(2)**

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# 8. Question 2 · part d · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

In December 2019 the unemployment rate in Venezuela was approximately 44%.
This was much higher than the previous December's figure of 35%.

(e) Explain **one** impact of increasing unemployment rates on business confidence in a country such as Venezuela.

(3)

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By volume, 90% of world trade of goods are transported by sea in containers. There are 5,000 container ships in the world and the largest carries more than 20,000 containers. It now costs only $0.05 to ship a t-shirt across the world from low-cost countries such as Vietnam.

(f) Explain **one** reason why the reduced cost of transport has helped to increase globalisation.

(3)

## 8. Question 2 · part d · 2 marks · Working and answer

Working and answer

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# 9. Question 1 · part h · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part h only.

**1** (a) A firm is described as a multinational corporation (MNC) if it

(1)

- ☒ **A** has shareholders in many countries
- ☒ **B** exports goods to other countries
- ☒ **C** is owned by the government
- ☒ **D** operates in more than one country

(b) An increase in which **one** of the following would be most likely to encourage saving?

(1)

- ☒ **A** Interest rate
- ☒ **B** Income tax rate
- ☒ **C** Exchange rate
- ☒ **D** Indirect tax rate

(c) What is meant by the term imports?

(2)

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# 9. Question 1 · part h · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part h only.

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(d) Describe **one** reason why governments make benefit payments.

**(2)**

Figure 1 shows the UK's imports and exports for the year ending July 2019.

| | £bn |
|---|---|
| Imports | 689.9 |
| Exports | 646.7 |
| Total UK trade | 1 336.6 |

**Figure 1**

(Source: Department for International Trade: UK Trade in Numbers September 2019)

(e) Using the data in Figure 1, calculate in £bn, **the current account** for the UK year ending July 2019. You are advised to show your working.

**(2)**

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# 9. Question 1 · part h · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part h only.

In December 2019, the UK and the European Union (EU) negotiated North Sea fishing quotas for 2020. It was agreed to increase the fishing quota for haddock by 30%.

(f) Using the diagram below, draw the effects of the introduction of the new quota on the equilibrium price and quantity of haddock. Label the new curve, the new equilibrium price and new equilibrium quantity.

**(3)**

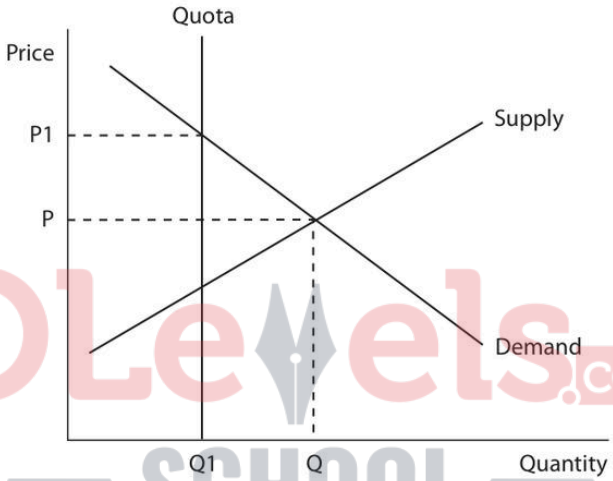



**Figure 2**

Norway had a current account surplus of 19.07bn Norwegian Krone (NOK) in the fourth quarter of 2019.

(g) Explain **one** possible reason why a country such as Norway had a current account surplus.

**(3)**

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# 9. Question 1 · part h · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part h only.

The rate of Value Added Tax (VAT), a type of indirect taxation in the UK, is 20%.

(h) With reference to the data above and your knowledge of economics, analyse how a reduction in indirect taxation is likely to affect the standard of living in a country such as the UK.

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**(Total for Question 1 = 20 marks)**

## 9. Question 1 · part h · 6 marks · Working and answer

Working and answer

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## 10. Question 4 · part c · 12 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

**4** Figure 3 shows the gross domestic product (GDP) per capita for Egypt in 2019 and 2020.

| | 2019 | 2020 |
|---|---|---|
| **GDP per capita US$** | 3 043 | 3 561 |

**Figure 3**

(Source adapted from: https://www.statista.com/statistics/377353/gross-domestic-product-gdp-per-capita-in-egypt/)

(a) Calculate, to two decimal places, the **percentage change in GDP per capita** in Egypt between 2019 and 2020. You are advised to show your working.

**(2)**

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## 10. Question 4 · part c · 12 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

Figure 4 shows the quarterly current account deficit (US$m) for Egypt from January 2018 until October 2020.

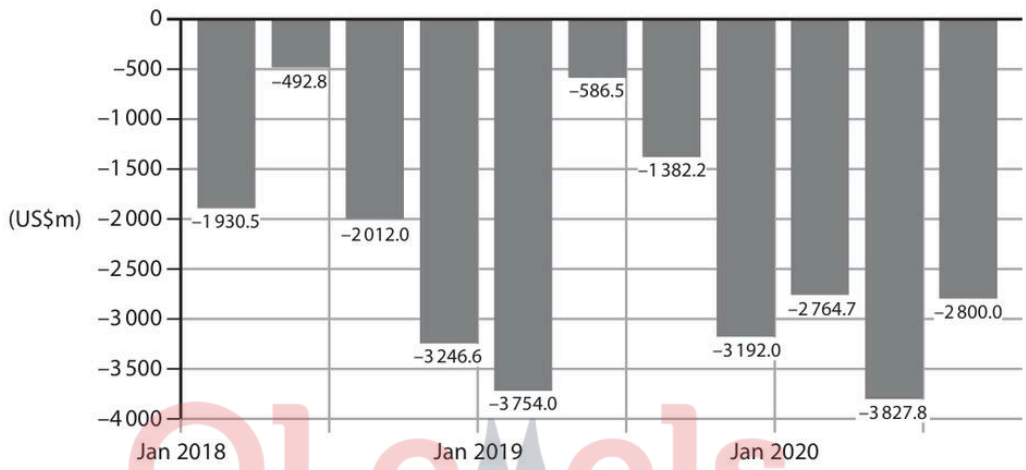



**Figure 4**

(Source adapted from: https://tradingeconomics.com/egypt/current-account)

(b) Analyse the possible impact on Egypt of having a continuous current account deficit.

(6)

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## 10. Question 4 · part c · 12 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

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## 10. Question 4 · part c · 12 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

The Egyptian economy is expected to grow between 2.8% and 4% in the financial year 2020–2021. Even higher levels of economic growth are forecast for the following year.

Unemployment rates have fallen to 7.3% in the third quarter of 2020 from 7.8% in 2019. Egypt's annual inflation rate increased to 6.3% in 2020, up from 2.7% in 2019.

(Source adapted from: https://www.arabnews.com/node/1770221/business-economy)

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which fiscal policy can be used to control inflation in a country such as Egypt.

**(12)**

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## 10. Question 4 · part c · 12 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.



## 10. Question 4 · part c · 12 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

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**(Total for Question 4 = 20 marks)**

## 10. Question 4 · part c · 12 marks · Working and answer

Working and answer

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# 11. Question 2 · part a · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a only.

**2** (a) Fiscal policy would involve a change in which **one** of the following?

(1)

- ☒ **A** Exchange rates
- ☒ **B** Interest rates
- ☒ **C** Production rates
- ☒ **D** Tax rates

(b) A savings account has €5 000 in it at the start of the year. If the interest rate is 2%, what is the total amount in the account at the end of the year?

(1)

- ☒ **A** €100
- ☒ **B** €2 500
- ☒ **C** €4 900
- ☒ **D** €5 100

(c) State **one** role of a central bank.

(1)

(d) What is meant by the term current account surplus?

(2)

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## 11. Question 2 · part a · 1 mark · Working and answer

Working and answer

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## 12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

**3** (a) Which **one** of the following is an advantage of a government giving subsidies to domestic producers?

**(1)**

- ☒ **A** Reduces government spending
- ☒ **B** Increases imports from other countries
- ☒ **C** Increases production of goods and services
- ☒ **D** Reduces trade disputes

The price of a basket of goods and services was £1 200. The consumer price index (CPI) increased from 120 to 130.

(b) Calculate the new price of the basket of goods and services.

**(1)**

- ☒ **A** £1 210
- ☒ **B** £1 300
- ☒ **C** £1 330
- ☒ **D** £1 450

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## 12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

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In March 2023, as part of its supply-side policy, the Italian Government announced business taxes would be reduced from 27% to 24% in January 2024.

(c) Explain the likely impact on productivity of this change in business taxes for a country such as Italy.

**(3)**

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## 12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

The Clean Air Act (CAA) is an important regulation that sets standards for air quality in the US. The CAA regulates emissions from cars, trucks and buses.

(d) With reference to the data above and your knowledge of economics, analyse how regulations can help to protect the environment in a country such as the US.

**(6)**

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## 12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

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## 12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

Australia has a progressive income tax system. Individuals are allowed to earn $18 200 before paying any tax. The rate of tax payable increases as income gets higher.
In recent years, income tax has been the fastest growing source of government revenue in Australia.

Australian Government revenue 2022–2023

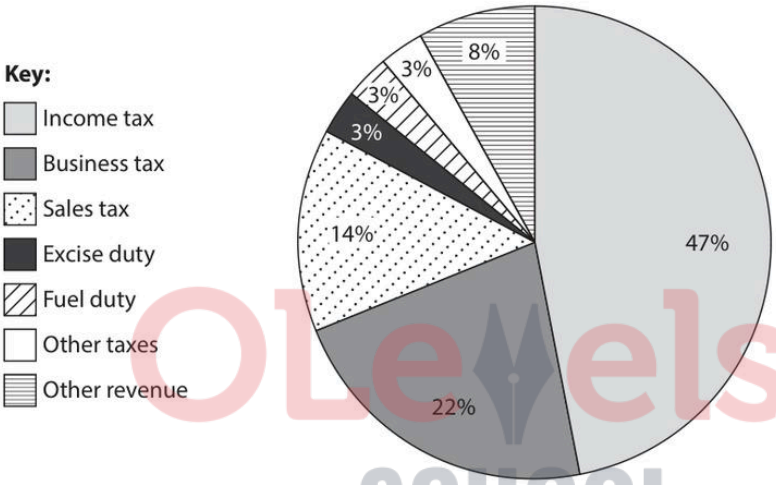



**Figure 4**

(e) With reference to the data above and your knowledge of economics, assess whether income tax is a reliable source of government revenue for a country such as Australia.

**(9)**

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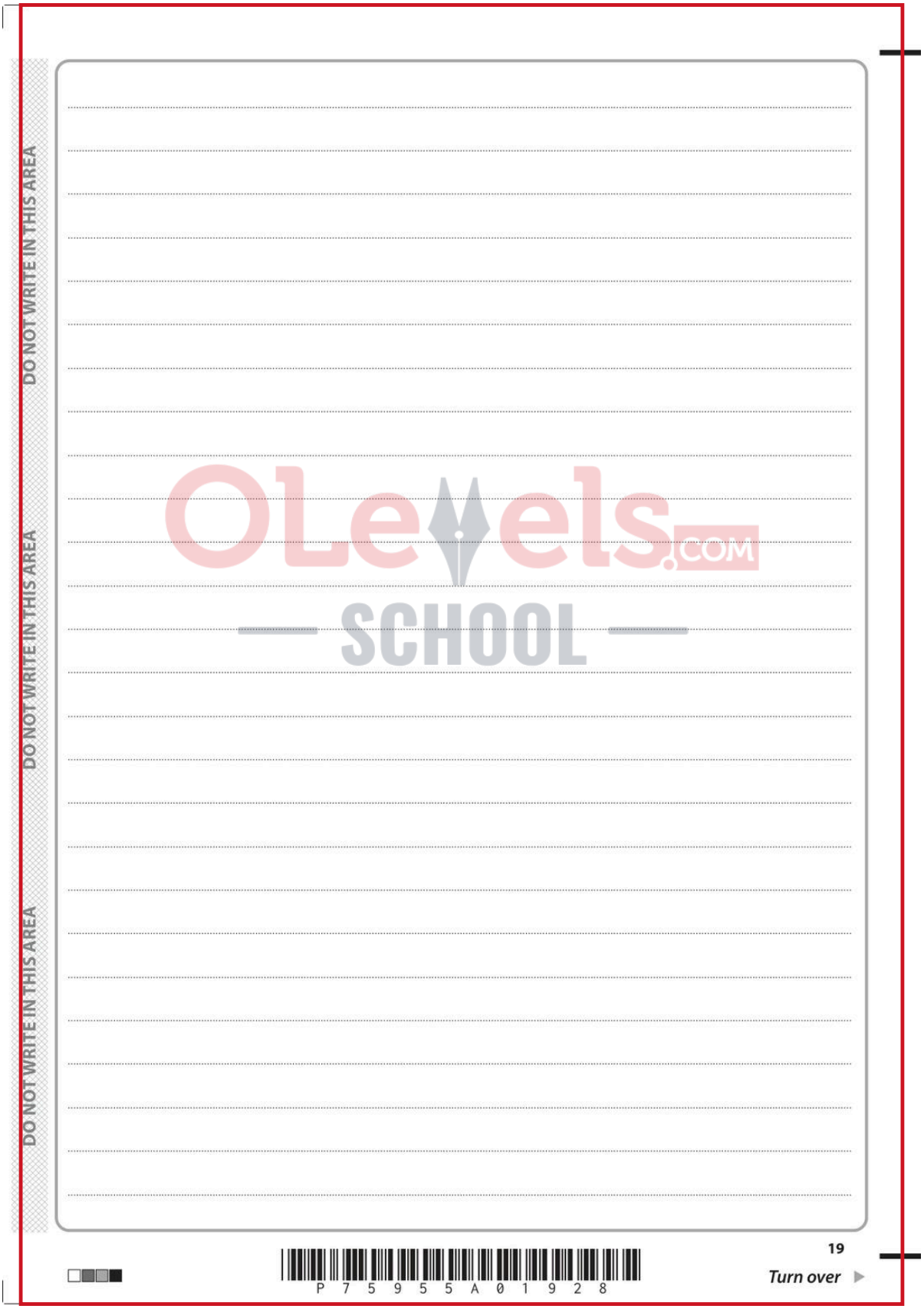
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## 12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.



## 12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

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**(Total for Question 3 = 20 marks)**

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## 12. Question 3 · part e · 9 marks · Working and answer

Working and answer

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## 13. Question 2 · part d · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

**2** (a) The percentage of income tax paid by an individual in a progressive tax system

(1)

- ☒ **A** remains the same for all income levels
- ☒ **B** decreases with higher income levels
- ☒ **C** increases with higher income levels
- ☒ **D** is capped once income levels reach a certain threshold

(b) A depreciation in a country's exchange rate is most likely to lead to

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(c) State **one** possible trade-off with inflation.

(1)

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(d) What is meant by the term direct tax?

(2)

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## 13. Question 2 · part d · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

In February 2024, North Tyneside Council in the UK said it will privatise the provision of school meals. Trade unions are concerned that this will affect pay and working conditions for the existing employees who currently provide the meals at schools.

(e) Explain **one** disadvantage of privatising the provision of school meals in North Tyneside.

**(3)**

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## 13. Question 2 · part d · 2 marks · Working and answer

Working and answer

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## 14. Question 2 · part d · 2 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

**2** (a) Which **one** of the following is a government policy that changes the rate of interest?

(1)

- ☒ **A** Fiscal
- ☒ **B** Supply-side
- ☒ **C** Monetary
- ☒ **D** Exchange rate

(b) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a limit on government salaries
- ☒ **B** Allowing more foreign firms into the domestic market
- ☒ **C** Introducing compulsory employee training requirements
- ☒ **D** Increasing consumer protection laws

(c) State **one** possible advantage of foreign direct investment (FDI) for an economy.

(1)

(d) What is meant by the term indirect tax?

(2)

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## 14. Question 2 · part d · 2 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

The World Health Organization estimates that 4.5 billion people are classed as being in poverty because they do not have access to essential healthcare.

(e) Explain **one** way government provision of healthcare can help to reduce poverty.

**(3)**

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## 14. Question 2 · part d · 2 marks · Working and answer

Working and answer

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## 15. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

**4** France is one of the UK's largest export markets. In 2023, the total of UK exports to France was valued at £45bn.

The average exchange rate of £ to € was £1 = €1.15 in 2023.

(a) Calculate, to **two** decimal places, the **total value of UK exports** to France in euros (€bn) in 2023. You are advised to show your working.

**(2)**

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**20**

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## 15. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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France is Europe's second largest consumer base with a high-income population. The French retail market is highly developed and its luxury sector is well known around the world. When exporting to France, UK firms must consider factors such as quality in order to be successful in this very competitive market.

(b) With reference to the data above and your knowledge of economics, analyse why an improvement in the quality of UK goods may result in a positive impact on the UK's current account.

**(6)**

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## 15. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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## 15. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

As part of its fiscal policy, the UK Government has promised additional funding and increased pay for doctors over the next five years to help the country's struggling healthcare system.

The UK public healthcare system is under considerable strain. For several months hospitals have been dealing with a lack of staff and long waiting times for medical care, with surgeries postponed or cancelled. At the end of April 2024, 7.6 million people were still waiting for treatment.

The UK's healthcare system is paid for by taxpayers to provide free access to hospital and doctor services for all citizens. The government is unsure how this additional investment will be funded and currently spends around 9.3% of its gross domestic product (GDP) on healthcare.

(c) With reference to the data above and your knowledge of economics, evaluate the possible economic benefits of increasing government expenditure on healthcare for a country such as the UK.

(12)

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## 15. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.



## 15. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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**(Total for Question 4 = 20 marks)**

## 15. Question 4 · part c · 12 marks · Working and answer

Working and answer

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# 16. Question 2 · part b · 1 mark

2020 JAN · Paper 02

Further practice · Attempt part b only.

**2** Figure 2 shows the rates of taxation in the UK in 2018.

| Income per year (£) | Tax rate (%) |
|---|---|
| 0 to 11 850 | 0 |
| 11 851 to 46 350 | 20 |
| 46 351 to 150 000 | 40 |
| 150 000 upwards | 45 |

**Figure 2**

(a) This is an example of what type of taxation system?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Regressive
- ☒ **D** Value added

(b) To improve the standard of living, which **one** of the following is a government likely to reduce?

(1)

- ☒ **A** Welfare payments
- ☒ **B** Subsidies for housing
- ☒ **C** Education
- ☒ **D** Indirect taxes

(c) State **one** method of government intervention that should lead to the protection of the environment.

(1)

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## 16. Question 2 · part b · 1 mark · Working and answer

Working and answer

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